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The CHALLENGER SALE





Let's Connect!



The Challenger Sale, Matthew Dixon & Brent Adamson

My Rating (From 0-5)



Complexity (From 0-10)



Objective

Be the best at the sales.

Summary

Sales as a profession has transitioned into consulting as two forces have fundamentally transformed the biology of a sale – the tech available for purchasing agents & the shift from product selling to “solution” selling. This transformation has shifted sales from being about relationships or volume to the ability to have a deep understanding of a customer’s business model and teach them a new way of thinking or an insight that leads to your solution. The author’s state this as going from a “listening/questioning relationship” to one of teaching & moving.

Part 1: A New Model For High Performance

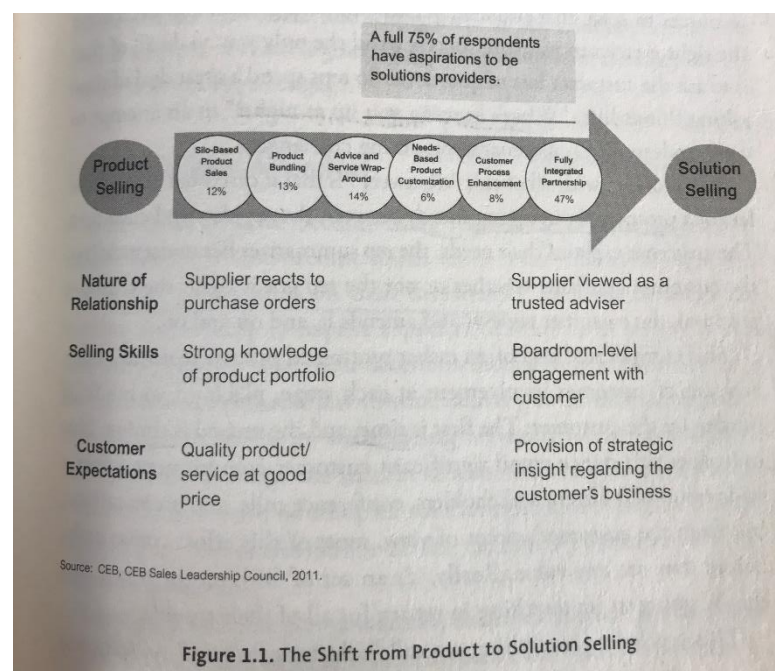
Lesson 1: The Purchasing Revolution

“Purchasing has gone through a major revolution. From being a dead-end function in the 1980’s where those who couldn’t cut it in HR went to die, it has emerged as a vibrant strategic force. Armed with powerful purchasing methodologies such as supplier segmentation strategies and sophisticated supply chain management models, the rise of the new purchasing has demanded fundamental shifts in sales thinking.” – Neil Rackham, SPIN Selling

Lesson 2: Solution Selling

The fundamental biology of selling has changed from a product to a full solution.

“Solution selling comes in many flavors, but generally describes the migration from a focus on transactional sales of individual products (usually based on price or volume) to a focus on broad-based consultative sales of “bundles” of products and services”



Lesson 3: No More Questioning

The traditional view of a good sales call is one of questions around the general question “what keeps you up at night”. In today’s environment this type of questioning involves a high level of customer involvement, placing two burdens on the customer: time & timing, and requires the customer to take a leap of faith that it’s worth the time.

Unfortunately this led to solutions fatigue: as solutions complexity has increased, so has the burden on customer, which has resulted in four trends within the buying process:

“you not only understand the customer’s underlying problems or challenges as well if not better than they do themselves, but also that you can identify new and better means of addressing those challenges, articulate clear benefits from using limited resources to

solve that problem versus competing ones, and determine the right metrics to measure success”.

Trend 1: Consensus Based Sell – decision makers now need consensus across the whole team.

Trend 2: Increased Risk Aversion – success of the solution is largely tied to success of the business overall, reducing buyer confidence and increasing risk aversion.

Trend 3: Greater demand for customization – As complexity rises so does a customer’s natural tendency to want to modify the deal to more closely meet their specific needs.

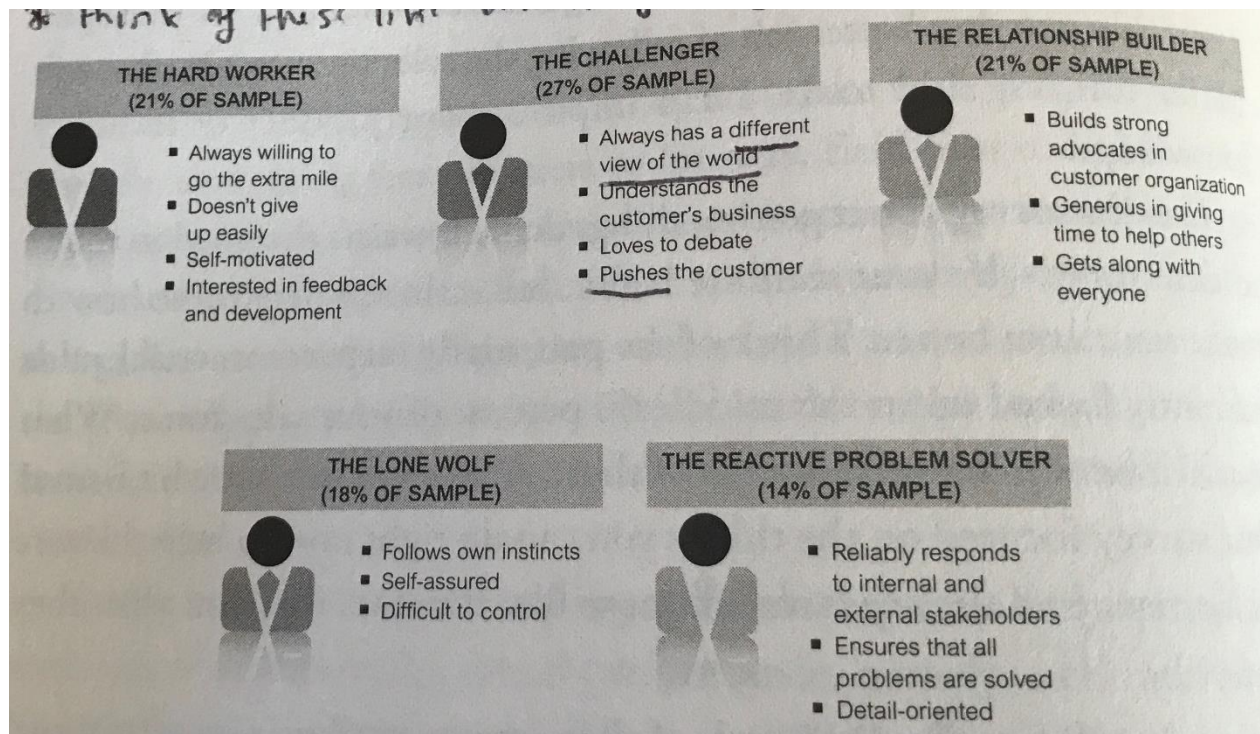
“Customization: Everyone wants it; no one wants to pay for it”

Trend 4: Rise of third party consultants – As complexity rises so does the need for a third party mediator, further increasing the timeline & cost to acquisition.

Lesson 4: The Challenger

There are 5 types of sales-people (diagram below):

- 1: Hard-Worker
- 2: Challenger
- 3: Relationship Builder
- 4: Lone Wolf
- 5: Reactive Problem Solver



The Challenger is the teacher, the one who brings new insights to the customer and leads the insights to their solution.

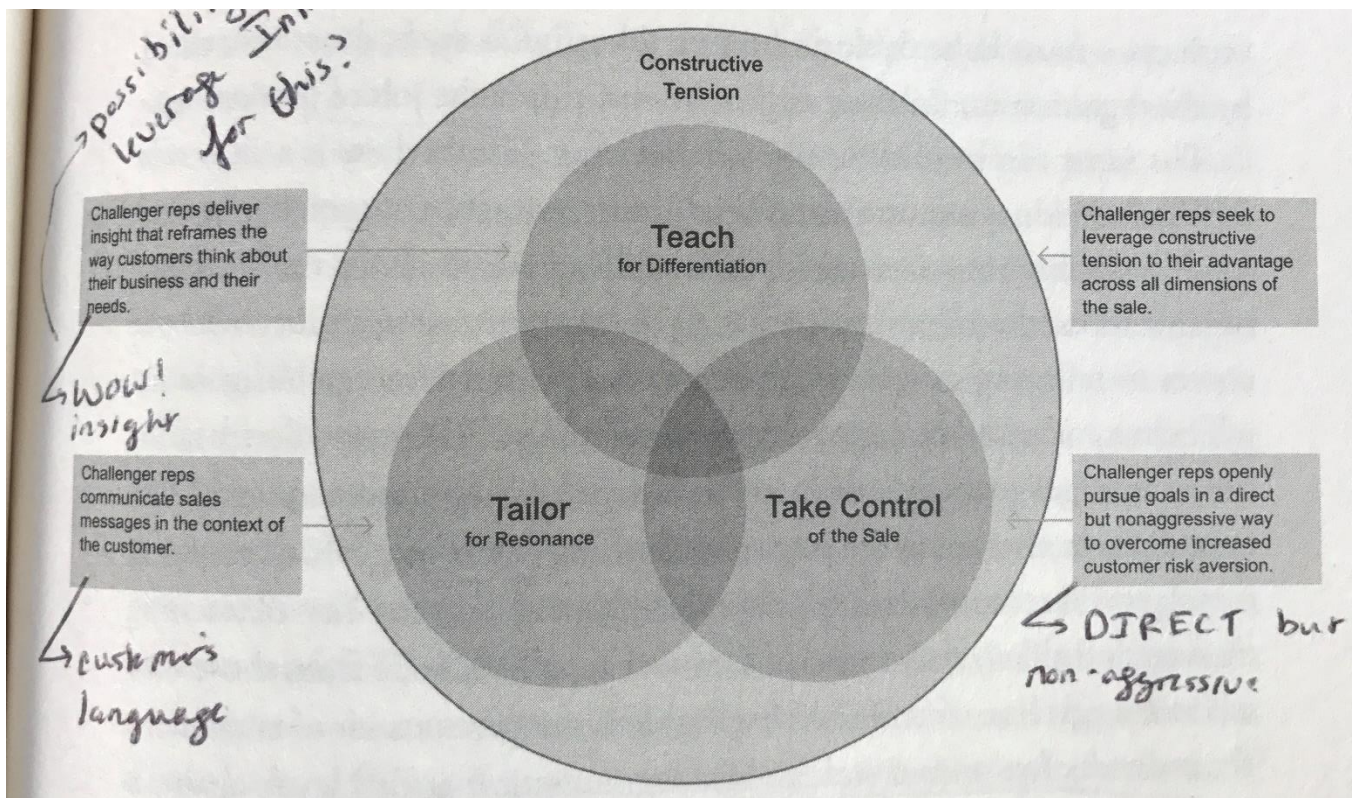
"The one who uses his or her deep understanding of a customer's business not simply to serve them, but to teach them: to push their thinking and provide them with new and different ways to think about their business and how to compete"

The Challenger has five attributes:

- Offers the customer unique perspective
- Has strong two-way communication skills
- Knows the individual customer's value drivers
- Can identify economic drivers of the customer's business
- Is comfortable discussing money
- Can pressure the customer

You could summarize their method into the following:

Teach → Tailor → Take Control



Part 2: Teaching for Differentiation

Lesson 1: What is teaching

The objective of teaching for differentiation is two-fold:

1 - Not asking what they need, but instead telling. Why? Because customer's don't actually know what they want, they rather have preconceived notions generally based off incomplete data.

2 – Speaking to the customers urgent need not of buying, but of *learning*

"The thing that really sets Challenger reps apart is their ability to teach customers something new and valuable about how to compete in their market"

The objective is to make the conversation itself valuable, but what does this look like? Refer to the below diagram.

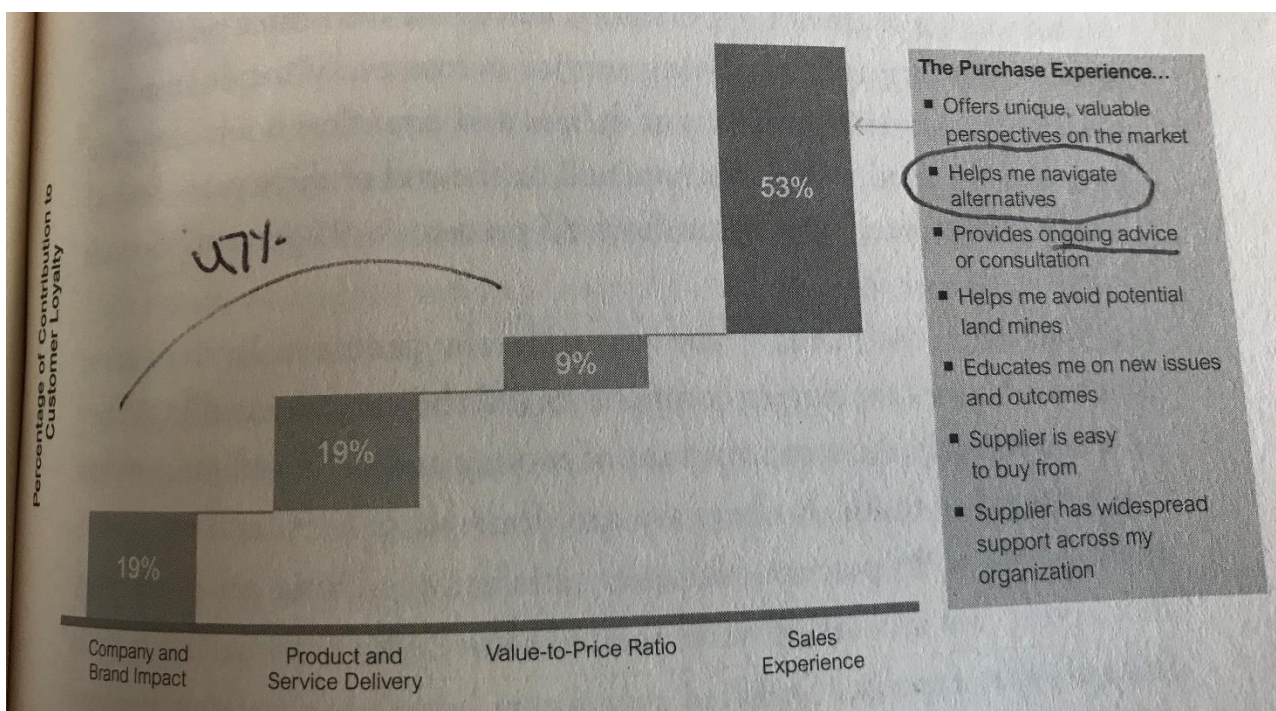


Diagram: Support from the customer experience

Lesson 2: What is an insight?

Insights do the following according to customers:

- Rep offers unique and valuable perspectives on the market.
- Rep helps me navigate alternatives.
- Rep provides ongoing advice or consultation.
- Rep helps me avoid potential land mines.
- Rep educates me on new issues and outcomes.

Lesson 3: Commercial Teaching

Commercial teaching is the specific way to teach for businesses. It's broken down into 4 rules:

1: Lead to your unique strengths

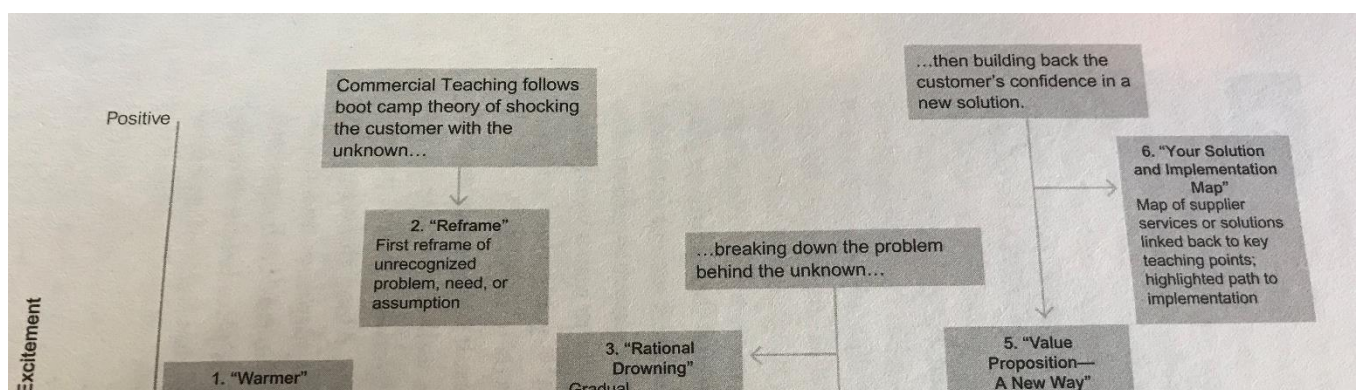
2: Challenge customer's assumptions – Rather than providing validation, you need to have the ability to “reframe” the way the customer thinks about their business.

3: Catalyze action – Here you are quantifying the ROI of not taking action.

“The best ROI calculators in a teaching approach have nothing to do with your solution at all. Rather, they help customers calculate the costs they're incurring or the returns they're forgoing by failing to act on the opportunity you've just taught them they overlooked”.

4: Scale across customers – the ability to re-use insights...generally provided the organization, not the individual rep.

Lesson 4: The Pitch



“Ultimately, the goal is to take customers on a roller-coaster ride, leading first to a rather dark place before showing them the light at the end of the tunnel.”

Step 1: The Warmer – assessment of your customers key challenges in order to establish credibility. Good idea to use benchmark data.

“We’ve worked with a number of companies similar to yours, and we’ve found that these three challenges come up again and again as by far the most troubling. Is that what you’re seeing too, or would you add something else to the list?”

Step 2: The Reframe – When you build off the warmer to introduce a new perspective that connects those challenges to either a bigger problem or a bigger opportunity than they ever realized. You know you’ve nailed it if you here, “hmmm, I never thought of it like that”.

Step 3: Rational Drowning - Here is where you lay out the business case for why the reframe in step 2 is worth your customer’s time and attention. You’re generally looking for the FUD Factor: Fear, Uncertainty and Doubt. The customer should say something like, “Wow, I had no idea we were wasting that kind of money!”

“In a world-class teaching pitch a good ROI calculator calculates the ROI on solving the challenge you’ve just taught your customer they have, not the ROI on buying your solution”.

Step 4: Emotional Impact - The objective is for the customer to see themselves in this story. How? Generally by bringing up competitors.

“You’ve got to paint a picture of how other companies just like the customer’s went down a similarly painful path by engaging in behavior that the customer will immediately recognize as typical of their own company”.

Step 5: A New Way – Convincing them of your solution. NOT product features, but a point by point review of the specific capabilities and steps they would need → make sure you actually have all of these.

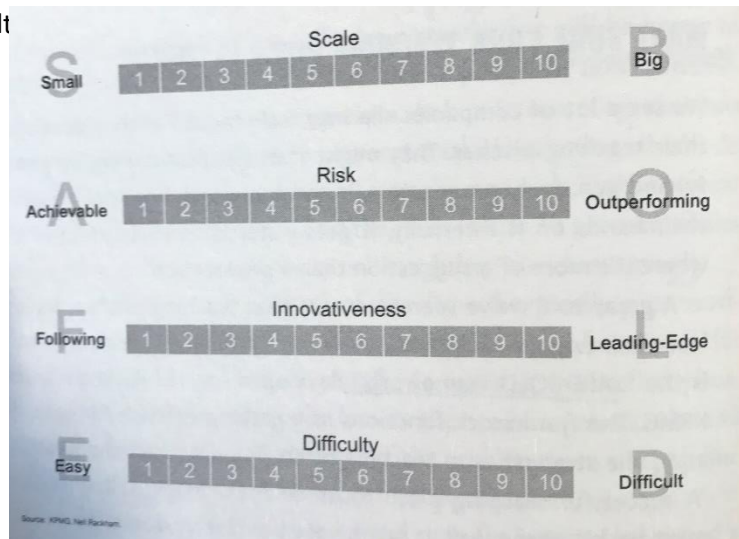
Step 6: Your Solution – Here is the final hoorah, where you show them you're key features and why you're the best to deliver on this solution.

"Lay out the specific ways you can deliver the solution they've just agreed to in step 5 better than anyone else".

Lesson 5: How to Build the Pitch

The actual anatomy of the pitch comes down to Neil Rackham of KPMG's "SAFE-BOLD Framework". The pitch must hold these 4 qualities:

1. Big
2. Innovative → new & often untested
3. Risky
4. Difficult



Case Study: Grainger (In order)

What We Want To Share With You

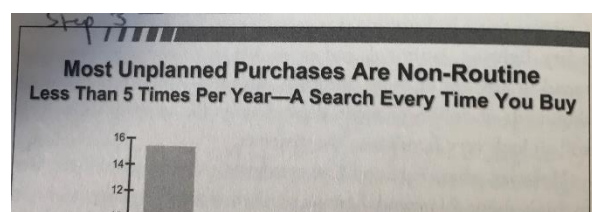
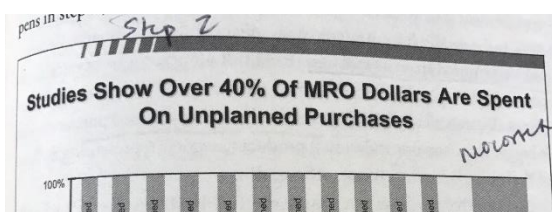
- Industry studies of MRO purchases — *get*
- Business challenges of unplanned purchases that impact your bottom line: — *direct, specific*
 - Inventory
 - Productivity
 - Service gaps
- Grainger's solution to those challenges

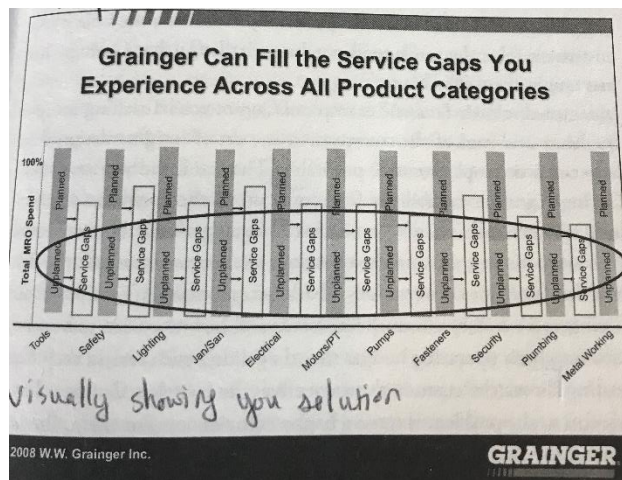
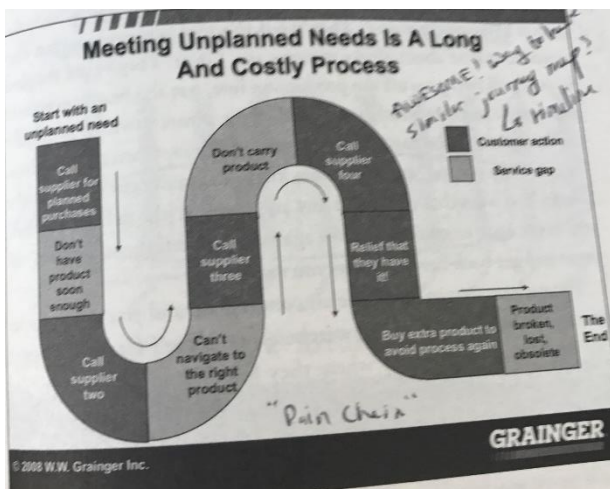
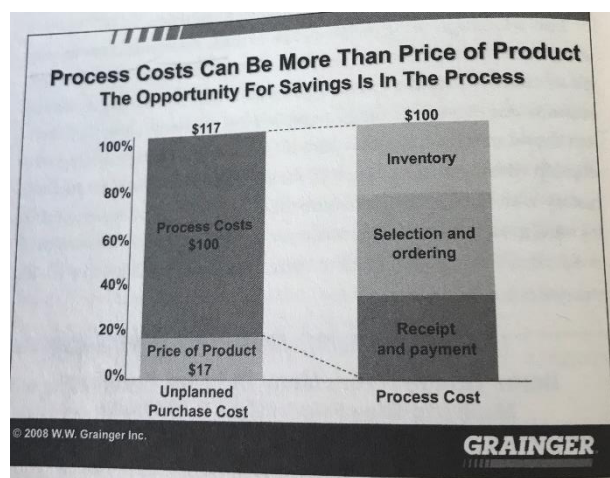
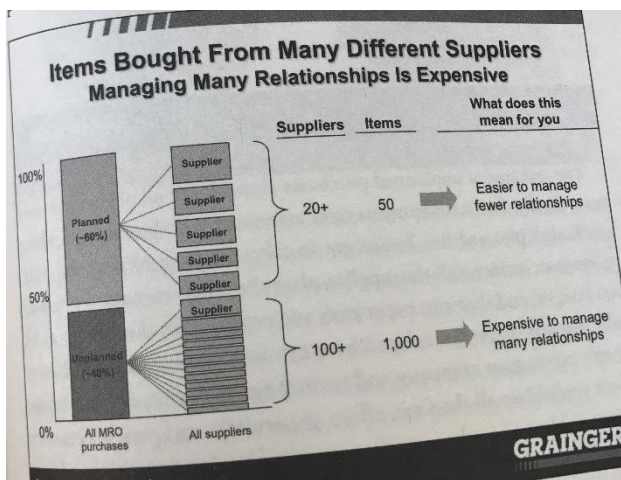
2008 W.W. Grainger Inc. **GRAINGER**

You Face Many Challenges Daily

Availability	Facility Security	Delivery Times	JIT Inventory
Training	Lost Work Days	Inventory Level	Freight
Workers Compensation	Hard to Find Item	Budget Cuts	Productivity Improvements
Safety	Cash Flow	Supplier out of Stock	Ordering
Employee Satisfaction	Repair Parts	OSHA Audits	Technical Support
Different Brands	Production Line Issues	Cross Referencing	Testing & Audits
			Product Quality

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Part 3: Tailing for Resonance

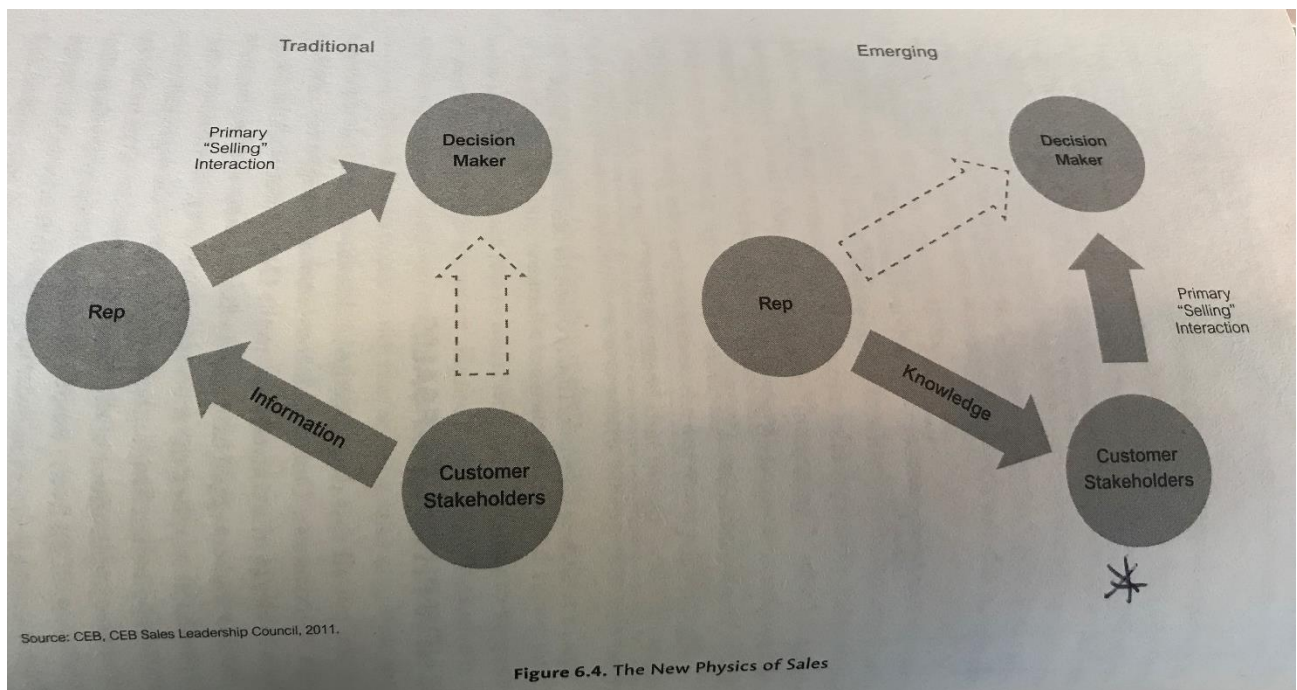
Lesson 1: What is tailoring?

"This isn't just a measure of business acumen, it's a measure of agility – the rep's ability to tailor the story to the individual stakeholder's business environment. What specifically do they care about? How do they fit into the overall customer organization?"

Lesson 2: Who to tailor to?

The most effective path to a decision maker is the indirect path through those who use your solution since an important factor in buying is widespread support. Because of this, we must tailor our message to those who will use our solution, also called an influencer.

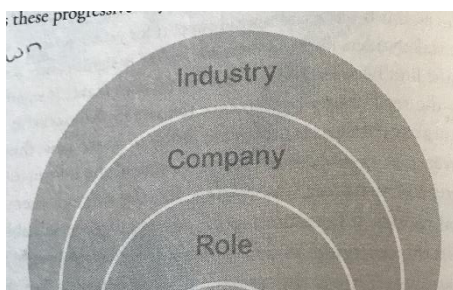
"The best way you sell more stuff over time isn't by going directly to the person who signs the deal, but by approaching him or her indirectly through stakeholders able to establish more widespread support for your solution"



Lesson 3: How to tailor?

The strategy of tailoring comes down to two steps:

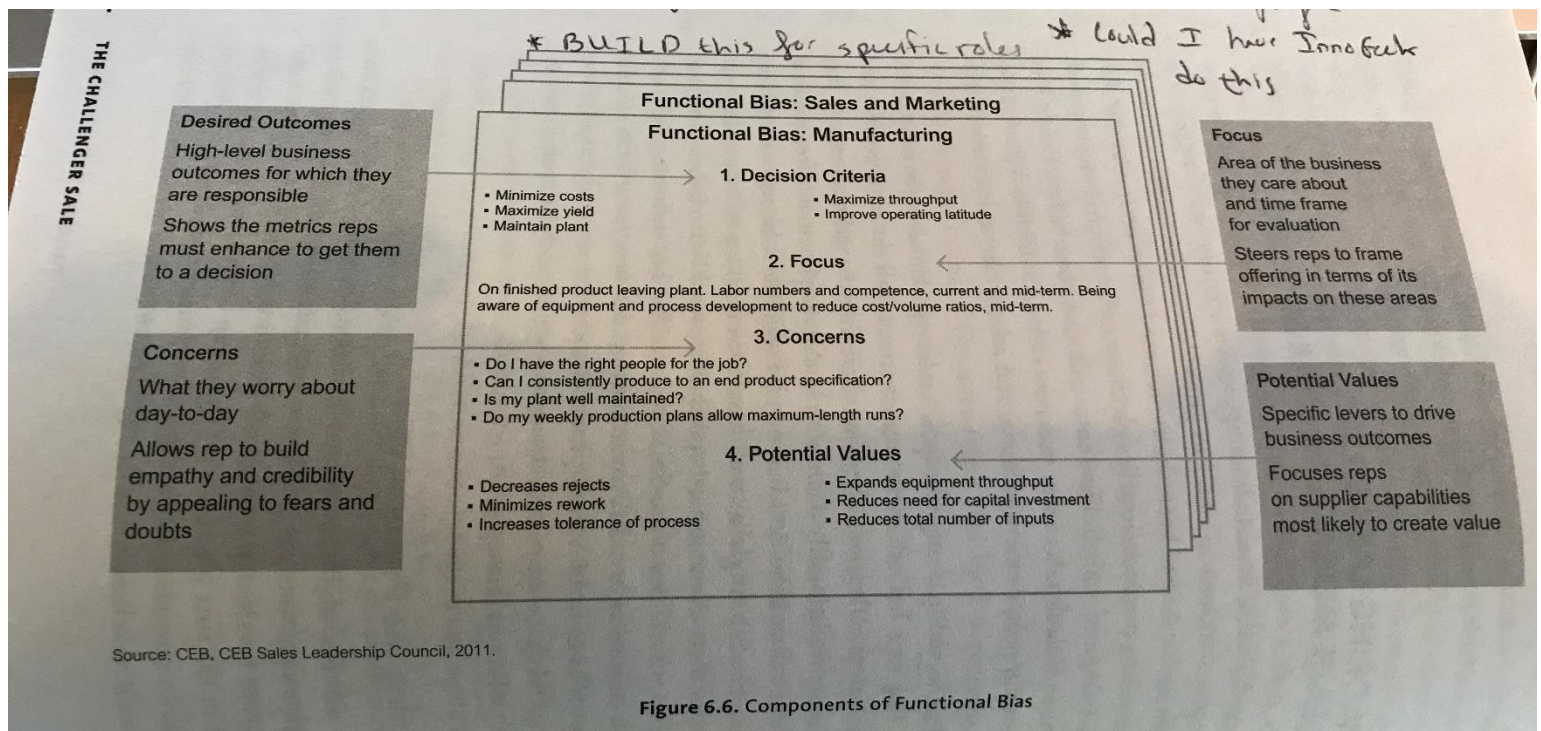
Step 1: Top-down approach



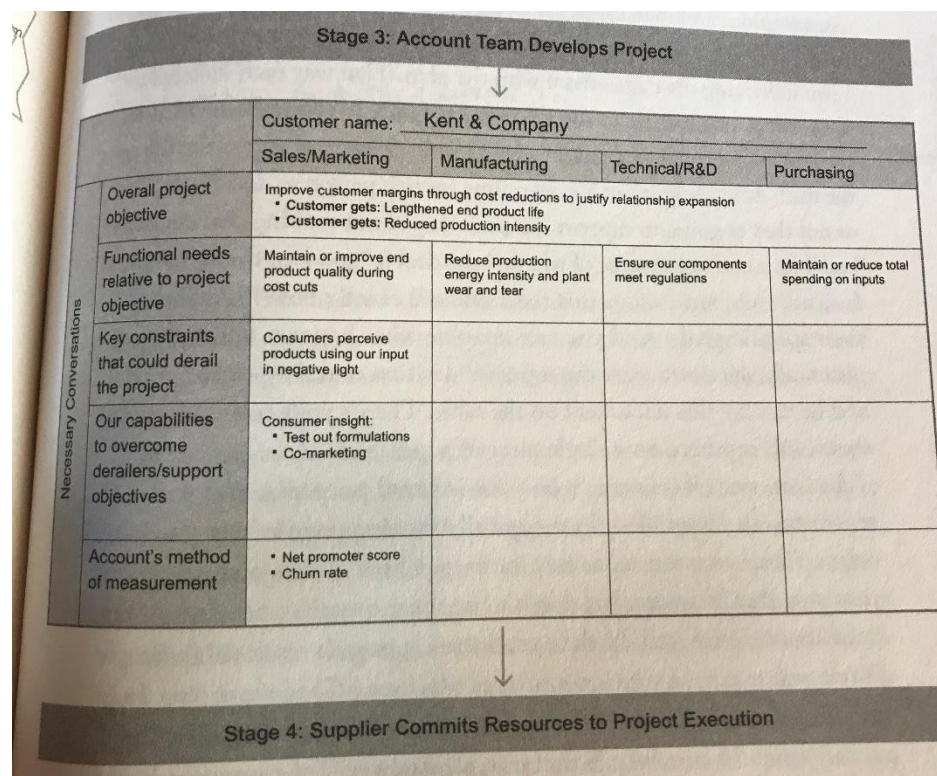
Step 2: Reaching the individual

This comes down to understanding the individual's specific drivers. i.e. their roles and what each role is trying to accomplish instead of the organization as a whole.

The author's recommend making a customer persona and journey map for each specific role. The diagrams below are examples of this.



CUSTOMER RELEVANCE		SOLUTION B
CUSTOMER RELEVANCE		SOLUTION A
Function	Marketing	Purchasing
Functional Needs/Desired Outcomes	- Increase sales - Increase market share - Build brand image - Expand market offerings	- Minimize inventory - Consistent supply - Minimize overall costs - Supplier relationships
Our Capabilities and Value	Sustainability claims <i>Lorem ipsum dolor sit amet, consectetur adipiscing elit. Donec quis quam. Nullam in odio.</i>	Inventory management <i>Aenean pellentesque. Cras mauris. Suspendisse ultrices, arcu ac faucibus dictum. ante urna</i>



Part 4: Taking Control of the Sale

Lesson 1: What is Control

Control is the ability to “push” the customer as well standing your ground. It generally pertains to two situations:

1. Assert control over the discussion on pricing

2. Challenge customer's thinking and pressure the customer's decision making cycle – both to reach a decision quickly as well as to overcome that “indecision inertia”

“Willingness and ability to stand their ground when the customer pushes back.”

In application, this is seen as “telling” the customer in a respectful way instead of asking, or as the authors say, “lead and simplify”.

